

Setting Prices Under Bilateral Monopoly

Pascal Michailat
<https://pascalmichailat.org/w/>

Bilateral monopoly: both buyer & seller have some market power $\rightarrow$ they can influence prices.

Bilateral monopoly occurs b/c a surplus is created when buyer & seller meet.

Intuition:

- buyer: matching cost / cost of a visit is sunk at time of match.
- seller: no other opportunities to match if match does not go through
 $\hookrightarrow$ seller remains idle if match breaks down (no income)

• both buyer & seller are better off matching now than separating

$\rightarrow$ surplus $> 0 \rightarrow$ bilateral monopoly

Since Edgeworth (19th century), we know that pricing assumption must be made to resolve situations of bilateral monopoly $\rightarrow$ must assume price norm